



OTHER TYPES OF NBFI

The kinds of NBFI available will vary from country to country.



CREDIT UNIONS

These are member-owned, financial cooperatives that are nonprofit and supported by an affiliated group.



SAVINGS AND LOAN ASSOCIATIONS

Accepts savings deposits and the funds are used to make mortgages and other loans.



SPECIALTY LENDERS

Able to charge high rates of interest, they may target those with poor credit ratings or with court orders against them.



PAWNBROKERS

These offer secured loans to people who put up an asset, such as a car or jewelry, as collateral on the debt.



WARNING

NBFIs are not accompanied by the same guarantees and protections that are built into products and companies regulated by the government watchdog, the Federal Reserve System, in the US. For the borrower, terms and conditions may be less favorable, while lenders may find it difficult to establish the creditworthiness of those to whom they are lending.



Crowdfunding

This is an emerging means of raising capital in which small projects or businesses can seek investment from individuals, bypassing traditional finance sources. Crowdfunding platforms allow investors to spread risk between projects, though there is a chance the investment will fail.

42% of consumers have used NBFIs in the last 12 months

Bank

Banks can hold individuals' money on deposit, and they can also process payments, lend to individuals, and offer products like credit cards, loans, mortgages, and current accounts. They are covered by strict regulations.

